

TABLE I

	St. Louis-San Francisco				Missouri, Kansas & Texas			
	Rate, %	Due	Price about	Yield, %	Rate, %	Due	Price about	Yield, %
Prior lien bonds	4	1950	69 ¹ / ₂	6.35	4	1970	65	6.35
	5	1950	83 ¹ / ₂	6.25	5	1970	78	6.50
	6	1928	96 ¹ / ₂	6.55	6	1932	92	7.15
Adjustment bonds†	6	1955	73 ¹ / ₂	8.16	5	1967	45	11.11*
Income bonds†	6	1960	55 ¹ / ₂	10.81				
Preferred stock	(6)		38		(7)		25 ¹ / ₂	
Common stock			21 ¹ / ₂				8 ¹ / ₄	

* Assuming full interest paid.

† Straight yields given.

In analyzing the value of the new M. K. & T. securities, it is inevitable that comparison be made with the St. Louis-San Francisco. The two systems are highly similar in location, character of traffic, and financial structure. In fact the reorganization of Missouri, Kansas & Texas has been closely patterned after that of the 'Frisco, which was consummated in 1916.

The similarity of capitalization of the two roads is illustrated by Table I, comparing the current price and yields of various issues:

In the following pages we discuss the general situation of the two companies, with respect to capitalization and operating results, and then present a detailed comparison of the corresponding security issues. Our analysis indicates that M. K. & T. will possess two underlying advantages over the St. Louis-San Francisco:

- I. Its fixed charges are lower in proportion to gross earnings.
- II. Its operating efficiency is greater.

Through these important points of superiority, M. K. & T. should be enabled to provide a larger degree of protection for its bonds, and a greater relative earning power for its stocks. Basing our conclusions on a study of the two systems, we recommend the following exchanges to holders of St. Louis-San Francisco securities:

1. —From 'Frisco Prior Lien 4s, 5s and 6s into the corresponding M. K. & T. Prior Lien issue, at their lower prices.
2. —from 'Frisco Income 6s at 55¹/₂ into M. K. & T. Adjustment 5s at 45.
3. —From 'Frisco Common Stock at 21¹/₂ into M. K. & T. Preferred Stock at 25¹/₂.